S&P Global
Market Intelligence

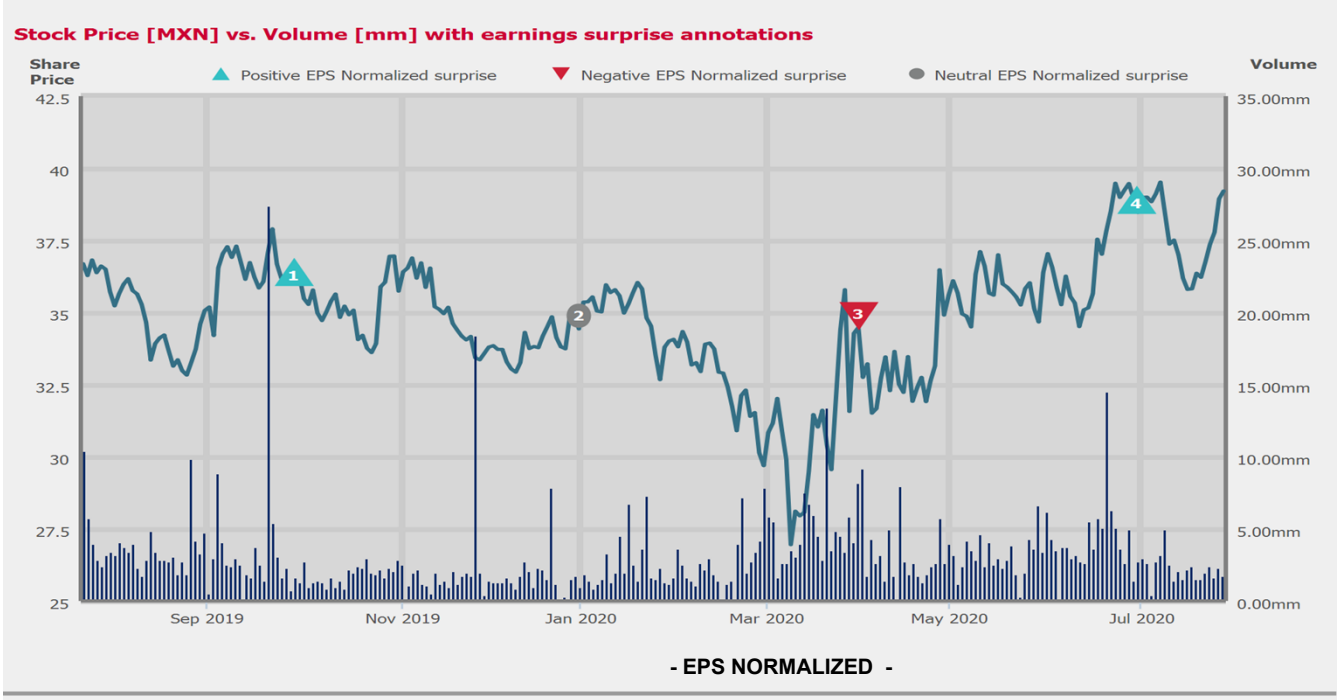
Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A FQ2 2020 Earnings Call Transcripts

Monday, July 27, 2020 10:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2020-			-FQ3 2020-	-FY 2020-	-FY 2021-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.30	-	90.00	0.41	1.23	1.77
Revenue (mm)	81780.50	86411.00	5.66	83760.37	323597.92	329237.93

Currency: MXN
Consensus as of Jul-27-2020 7:07 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ3 2019	0.39	0.42	1 7.69 %
FQ4 2019	0.39	0.39	2 0.00 %
FQ1 2020	0.26	0.01	3 (96.15 %)
FQ2 2020	0.30	-	4 90.00 %

COPYRIGHT © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Table of Contents

Call Participants	.....	3
Presentation	.....	4
Question and Answer	.....	7

COPYRIGHT © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Call Participants

EXECUTIVES

Alfred Penny
President of Bimbo Bakeries USA

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Diego Gaxiola Cuevas
Group Chief Financial Officer

ANALYSTS

Álvaro García
Banco BTG Pactual S.A., Research Division

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Isabella Simonato
BofA Merrill Lynch, Research Division

Lucas Ferreira
JPMorgan Chase & Co, Research Division

Miguel Mayorga Tena
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

Ricardo L. Alves
Morgan Stanley, Research Division

Unknown Analyst

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's Second Quarter Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded. And that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding the forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, good afternoon, everyone, on behalf of Grupo Bimbo. I hope that you and your families are healthy and staying safe during these times. Thank you for joining us today.

Connected on the line today is our CFO, Diego Gaxiola; our BBU President, Fred Penny; and several members of our finance teams.

The extraordinary results achieved during the second quarter have only been possible due to the strong commitment and determination of our teams on the front lines, our well-established portfolio of brands and the responsiveness and flexibility of our entire value chain. These have enabled us to respond to the increased consumer demand seen during the pandemic in many of our markets and especially in the retail channel. I couldn't be prouder of all that our teams are -- have accomplished, and I want to thank all of our associates for doing such a great job in these difficult circumstances.

Our global diversification enabled us to reach record levels for sales and adjusted EBITDA for the second quarter with extraordinary growth rates across core businesses and categories as well as continued market share gains. The retail channel outperformed across every region and our growth in e-commerce continued to accelerate. We experienced pressure in our QSR and foodservice businesses, as a reflection of consumers staying at home in response to COVID-19. But as lockdowns start to ease, trends for these businesses have been gradually improving week over week.

At this point, the timing and degree to which demand will return to normal ranges is still uncertain. However, we believe that our teams and our portfolio is well positioned to succeed in the new normal. We will continue to be focused on making the right investments to ensure our business continuity and success over the long haul.

Now taking a look at the regional results of the quarter. Our biggest market, North America, posted a strong 36% growth in peso terms, while in dollar terms, sales increased 11.5%. This growth, along with a significant margin expansion, was driven by increased demand from the COVID-19 pandemic and strong frontline execution, guided by our measure to feed North America and keep our frontline associates safe.

Volume growth was extraordinary across the retail channel, which includes grocery, mass merchandisers and club. We experienced market share gains across the bread, buns and rolls, breakfast, sweet baked goods and snacks categories. And the e-commerce channel more than doubled. This strong performance was partially offset by weak volumes across the QSR, foodservice, and convenience channel due to the pandemic. Adjusted EBITDA margin reached a record level at 12.9%, reflecting the strong sales growth, lower commodity prices and productivity benefits from past investments, which were partially offset by onetime expenses related to the coronavirus.

In Mexico, sales performance reflected our channel mix in the country. As a reminder, our most important channel is a traditional channel. While the balance is split between other channels such as convenience, retail, wholesale, foodservice and vending among others. Although the retail and traditional channels posted good results, they couldn't overcome the pressure coming from the other channels due to the pandemic. Consumers have reduced the frequency of visit to the stores and other channels, such as vending and foodservice, which includes close -- that are closed or have experienced

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

reduced traffic. Consequently, the salty snacks and confectionery categories were affected too as these categories are primarily being sold in the channels impacted by the pandemia.

Adjusted EBITDA margin contraction was attributable to sales mix performance and COVID-19-related onetime expenses such as donations, labor requirements and safety equipment. Although the second quarter was pressured by the channels in distress, June trends were better, and we are introducing products available to our consumers at different price points. So we feel more optimistic about the outlook in this market for the remainder of the year.

In Latin America, the 13.3% sales increase and the extraordinary margin expansion of 420 basis points were due to strong performance in Brazil and our Latin Central division, notably, the Central America region and Colombia, which reached record results. The retail channel improved due to consumers staying at home, and the margin expanded as a result of the effective execution of the business during the pandemic as well as continuing delivery of productivity savings.

In EAA, sales increased 10.4% as a result of FX rates benefit and good growth in the bread and buns category throughout the region, helped by the new consumption patterns. Sales in local currency were mainly pressured by the QSR business and the sweet baked goods category, primarily in China and Iberia, as the traditional channel has been more affected by the COVID-19 crisis.

And finally, we received the authorization to acquire the Paterna plant from Cerealto Siro Foods in Valencia, Spain. This plant produces sliced bread and buns for Mercadona under the brand Hacendado. This acquisition will further strengthen our profile in the country, complementing our customer reach and manufacturing footprint to better serve more consumers.

I would like now to turn over the call to Diego, who will walk you through our financials. Please, Diego, go ahead.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Thank you, Daniel. Good afternoon, everyone, and thank you for joining us today. I would like to start with a summary of our financial results for the quarter, which were outstanding. We reached record growth rate and record levels of sales and adjusted EBITDA for the second quarter. We are benefiting from being a global and diversified company and participating in a resilient industry, as most of our revenues are in hard currency, and volume has been impressive in most of our markets, especially in North America. For the second quarter, due to the strong performance in the region, North America represented more than 67% of our consolidated revenues. As compared to 50% in the same quarter of last year, reflecting strong volume performance and the benefit from FX rates.

I would also like to highlight that thanks to this strong performance and to the very well-diversified portfolio, for the second quarter, our hard currency revenues represented more than 60% of our top line and close to 60% of our adjusted EBITDA. The pandemic is far from over, and we are cautious that we will continue to face challenges, including the economic slowdown and potential devaluation of some currencies. However, we believe that we are well positioned to continue to navigate in this extreme circumstances. Thanks to our well-diversified portfolio, categories, markets, channels, the relevance of our brands, our operating business model, our solid financial position and the extraordinary commitment of our associates.

During the second quarter, operating income increased almost 60% due to the 29% increase in our adjusted EBITDA and to lower other expenses, mainly because during the second quarter of 2019, we had a negative effect from our net reserve of MXN 1 billion. And this quarter, we had a positive effect of MXN 130 million.

Our financing cost increased 1.3% because of higher interest expenses due to a higher debt level and a higher exchange rate versus the second quarter of last year. The net effect of these factors yielded a significant improvement in net majority income which doubled while the margin expanded 130 basis points.

Turning to the balance sheet. We closed the quarter with a net debt to adjusted EBITDA ratio of 2.5x. Our total debt increased by MXN 16.5 billion, mainly attributable to the depreciation of the Mexican peso, while we prepaid $400 million of our previously drawn revolving credit facility. I would like to go through the details of some of our decisions made during the course of the year.

During the first quarter, we announced that we drew $720 million from our committed revolving credit facility, from which $200 million were used on June 30 to pay our outstanding 2020 notes. Another portion was aimed at increasing liquidity

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

having as a priority, the flexibility and the financial strength as a preventive measure due to the uncertain environment. And the balance was used to pay for the acquisition of the Paterna plant in Spain.

However, due to the recent strong results and solid cash flow generation, coupled with a less uncertain environment, we decided to prepay $400 million, leaving us with $300 million outstanding in our credit facility. With this, we currently have approximately $1.7 billion available in our credit facility, which provides us with flexibility and liquidity for the future. As we keep a flexible amortization profile at an average maturity of 13.1 years and an average cost of 5.6%. Our net operating working capital, which mainly considers accounts receivables, inventories and suppliers, has improved significantly by 3.4 days. Which is the equivalent of MXN 3 billion due mostly to a sequential improvement in our accounts receivables and the supply chain finance program implemented in North America.

For the first 6 months of the year, our free cash flow before dividends and share buybacks totaled nearly MXN 7 billion. We bought back approximately 90 million shares, investing MXN 3.1 billion in the program.

Finally, we would like to share with you our new outlook for the year. As you might remember, in our last December day -- Investor Day in November, we shared our 2020 expectations. And given our recent strong performance and increased demand, we have decided to adjust it as we are expecting a much better year. We now expect to close the year with a low double-digit growth rate in terms of sales, mid- to high-teens growth rate for adjusted EBITDA, the effective tax rate in the same rate of high 30s to low 40s, and we are also expecting a lower CapEx with an expectation of a range from $650 million to $750 million. We will continue to control our cost and expenses. As we give priority to cash generation and preservation, while continuing to invest in our strategic projects.
That concludes our remarks this afternoon, so please proceed with the Q&A session.

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Question and Answer

Operator

[Operator Instructions] The first question will come from Ben Theurer from Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Daniel and Diego hope you and your families are all well. First of all, congratulations on those outstanding results. Now I wanted to dig a little deeper into the different dynamics in the U.S. and if you could elaborate a little bit on how you translate those strong results actually then in domestic currency. So in the press release, you highlighted about 36% sales increase, but only 11% in dollar sales. So FX, seems like you've translated at better terms than maybe what the average rate was so if you could elaborate on that? And within the different categories and the market share you've elaborated on, could you share some more insight on volume and how you've been doing with branded products versus private label products in the U.S.? That will be much appreciated.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. Daniel, firstly, if you want I can take the first part regarding the variation on the FX, Ben. It was a little bit more than 20%, the average of this quarter versus the same quarter of last year. So the organic growth plus the FX devaluation that has given us the 30-something percent growth. The average that we use, it's the number that -- in which we translate every month, the operations in U.S. dollars or Canadian dollars to Mexican pesos.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. And you answer the other part, Fred, please?

Alfred Penny
President of Bimbo Bakeries USA

Sure, Daniel. Thanks for the question, Ben. What we've seen is strong performance across all of our -- inside of North America, all of our branded categories. As Daniel mentioned, whether it be mainstream bread and buns and rolls or breakfast muffins and bagels or our sweet goods portfolio. The sales -- branded sales have been strong. I would say, if you looked across the commercial bread category in total, among all the participants, you would see similar trends with branded sales up and private brand sales either up significantly less or, in some cases, slightly down. And that's been relatively consistent across categories and across the quarter.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

So would you say that with like online shopping and distance shopping that to a certain degree, having a brand makes it easier to be recognized among consumers, and you've highlighted e-commerce. And it means, clearly, the U.S. is very much advanced there. So would you say this is a reason for the outperformance of branded products over private label?

Alfred Penny
President of Bimbo Bakeries USA

It's a partial reason, but you have to put our brand -- while our e-commerce sales are up substantially, Daniel mentioned, more than double. They're still a relatively small percentage to our total overall sales that are going through our [VSD] distribution system. So I think it's more at work there. My own opinion is that it has to do with consumers gravitating, while there are other home care brands that they're familiar with, they're comfortable with. And I think we've seen that across not just our business, but I would say, across the category as well.

Operator

The next question will come from Isabella Simonato from Bank of America.

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Isabella Simonato
BofA Merrill Lynch, Research Division

I have 2 questions. First, you mentioned expenses related to corona, right, during the quarter. If you could just provide us some sort of color on how much was it? And if you see any of those being structural going forward? Or this were one-offs during the quarter? And when we look at the adjusted EBITDA, if those are -- those -- that lining that those expenses or it's already adjusted for it? That would be my first question.

And my second question, when you mentioned about the EBITDA guidance for the year, if you just could reconfirm the growth that you are expecting. But as far as understood, it implies a deceleration, right, in EBITDA growth for the second half. Can you provide us what's the rationale for it? And how are you seeing top line performance post the reopening of most of your markets if there is a deceleration in top line growth now that people already are not eating that much more at home or not loading their pantries as much as they did in Q2? I mean, how are you thinking about second half?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. Isabella, this is Diego. Let me tell you, regarding the amount of expenses that we faced during the second quarter, it was approximately 2% of our consolidated revenues. It was different by region and by market, where at the Grupo Bimbo level, we had this hit. I would say that most of the expenses that we had are onetime expenses, although we have some of them that will continue to be there, and we will continue to face some additional expenses, but not as big as the hit that we had during the second quarter.

In terms of the guidance, again, just reiterating the guidance for the EBITDA for the full 2020 year, we're expecting something between mid- to high teens. Why are we expecting this or where this is coming from? It is mainly because of better performance in revenues. Remember that at the end of last year, we were expecting a low to mid-single-digit growth in Mexican peso terms. Now we are expecting a low double digit. So this incremental revenues is creating a positive effect on additional EBITDA. And also, the FX variation because of the operations that we have in the U.S., in Euros, in Canada that some of the currencies have devaluated, but not as important, and the Mexican peso has devaluated against all these hard currencies. So this is also creating another positive effect. But organically, what we're seeing is a very important growth. As Daniel mentioned, even in some markets, we still feel optimistic that in the -- like in the case of Mexico, we will start to see a better performance. Some specific channels like QSR was really affected in the second quarter, and this should improve in the second half of the year.

So basically putting all these things together is that we're expecting this margin expansion, having this EBITDA growth of mid- to high teens and a low double-digit growth in top line.

Operator

The next question will come from Felipe Ucros from Scotiabank.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Congrats on the results, and I'm glad to hear you are all doing well. I wanted to -- it's very clear how you're performing so well in the U.S. I think you've explained it very well. I wanted to focus on a couple of other markets that had somewhat surprising performances. The first one on Mexico, I wanted to see what you're seeing in the most recent months in terms of the impact from mobility restrictions? And how much do you think is actually the COVID impact versus how much do you think the recession in Mexico is playing a part? There has been kind of a divergence between how companies have reported this. Some have been talking about a very weak Mexican consumer. Some others have been blaming it mostly on Mexico. So I wanted to see if you had any qualitative comments on what you think on those.

And then on the flip side in Brazil, you had a surprisingly good performance. And that's very much in line with what other consumer companies have been reporting. It seems that market has done very well during the second quarter. I want to ask you about that, what you see for the rest of the year and maybe next year because it's a country that wasn't in as great shape as some of the other countries in the region coming into this crisis. And obviously, there is a fiscal reform coming up at some point. But for some reason, the consumer seems to be behaving very upbeat. And I wanted to see if you could share your thoughts on why you think that market is performing so differently? If it only has to do with the difference of COVID measures? Or there's something else in the macro that the market may be missing?

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you, Felipe. Well, on the Mexican scene, I can tell you that we're doing okay on the small stores channel and the large-format modern stores, but we're seeing a weakness in the c-store channel, in the vending channel and the whole QSR and foodservice businesses. So it's a tale of 2 cities, and it has to do with mobility, certainly, and the particularities of what each channel brings to the pantry of different consumer homes. So that's Mexico. And in LATAM, we don't break out numbers for each country, as you all know. So in general, what I can tell you about LATAM is that we're seeing a significant improvement in terms of profit margins. We have seen great volumes in the northern part of LATAM. And we're improving in some countries such as Brazil and Argentina. Even though in both markets, we have operations that are in difficult conditions. Throughout the region as well as in Mexico, the foodservice and QSR channels have been severely impacted, although we're starting to see, mostly in the last weeks of June, a return to growth versus what the pandemic impact happened in April and May.

Operator

And the next question will come from Ricardo Alves with Morgan Stanley.

Ricardo L. Alves
Morgan Stanley, Research Division

Another one on North America, just a quick follow-up. I'm actually a little bit more interested on the trend that you saw in the quarter, maybe June, you saw a little bit of more normalized numbers and whatever additional color you could provide and what you're seeing in July, that would also be helpful for us to assess a very strong quarter, obviously, that you had. So just a follow-up on North America.

My second question is more related to cash generation and perhaps capital allocation. Here, I wanted to see if you could share a little bit more of your thoughts. I mean, obviously, generating a lot of cash. I believe you already prepaid $400 million in debt, but you have the share buyback program in place. What else can you do in the second half? Could we assume more on the liability front or maybe are you more active on buybacks or even other types of shareholder returns. I mean, there's also the discussion of smaller M&As. So just wanted your overall thoughts on capital allocation, what's on your mind for the next 6 to 12 months? I appreciate your time.

Alfred Penny
President of Bimbo Bakeries USA

Daniel, I'll take the North America question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Please.

Alfred Penny
President of Bimbo Bakeries USA

I would say, after the first few weeks, I guess, it would be sort of mid-March when the pandemic really first hit, and we saw a few weeks of panic buying. Our weekly sales, Ricardo, have been quite consistent week to week, right through the quarter. And I expect them to remain strong, although it's really hard to predict where this is really going to go. It has all to do with, in my mind, certainly, to what extent consumers begin to eat away-from-home again. When those schools open, when will -- and how will colleges and schools open or not reopen, as we've seen, as I'm sure you know, and most food categories have seen it just a significant shift to the food consumed at home as opposed to away from home. So it's difficult to project how that's going to play out. But certainly, it's been more consistent than I would have expected.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. And let me take the second question regarding the cash flow generation. As you have seen for both quarters, and of course, accumulated for the 6 months, free cash flow generation has been strong, as I mentioned, before dividends and the buyback, close to MXN 7 billion for the 6 months. From this almost MXN 7 billion, we have gave back to our shareholders in the form of the dividend around $100 million, MXN 2.3 billion. And like $140 million in the form of buying

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

back shares. So even with this net free cash flow has been positive. We have a substantially stronger debt position as of the end of the second quarter with a net debt-to-EBITDA of 2.5x. And I mean, just to be very specific, the EBITDA that we take into account in order to make this ratio is without the positive effect of IFRS-16.

So we feel very comfortable with the financial position. We feel also very comfortable with the strong capital position of the company. As it was mentioned on the last call, we will continue to be active with the buyback program as long as we continue to see an opportunity. Of course, having as a priority, the cash flow generation. So things are looking good. The -- I mean the second quarter was very strong operationally and from a cash flow perspective, and as you could see with the guidance that we are providing. We also feel very optimistic about the second half of the year. And if there is an opportunity, we will reactivate the buyback program.

And I mean in terms of M&A, Daniel, if you want to, I can also answer, we do not have anything big in the pipeline. There are some opportunities that we have been analyzing and working on since several quarters ago, nothing material. We will continue to have as a priority to take care on the leverage of the company.

Operator

And the next question will come from [Lluis Johns] with Compass.

Unknown Analyst

And again, congratulations on such a great quarter. Two questions on my side. They're both on Mexico. And then -- and the first one, I was wondering if you could give us a little bit more color in terms of your sales growth by channel, perhaps revenue growth, excluding foodservices, just to get a sense how much was that impacted by that particular channel, how much was volume or price-mix driven? And you mentioned better trends, I guess, in June. But I was wondering, if I take your guidance, your EBITDA guidance of mid- to high-teens growth on a consolidated level, how would that look just for Mexico only? That would be my first question.

And then the second question is on labeling. If you could share with us, what are your thoughts in terms of the potential volume and margin impact that the labeling that goes into effect in the corner will have on your business? What are the things you're sort of doing? What percentage of your portfolio might be highly impacted? That would be very helpful.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

So on the volume performance, we don't break it by channel in the country, but let me tell you that in general terms, the retail end and the small retailers grew more or less with what was expected. So it's a few points above inflation. And in -- the other channels did have impact and it's a slow recovery. So we don't know when or how will they get to where they were before. And this changes, obviously, week-by-week as the consumer sentiment changes. So that's our view on volume growth by channel.

Regarding labeling, we have in some other countries, sort of the same type of legal changes, Chile, Peru and others, Ecuador. So we have been maneuvering through these legal challenges over the past years and months, we believe that we will do the same here in Mexico, and we're abiding by the law, obviously, and we expect to be having our new labels in front of the consumers in October as it is mandated. And we can tell you that we have been, over the years, reformulating our products, and we will continue to do so regardless of these kind of initiatives because we believe in the wellness of our products and consumers, and that's our aim. And it's early to tell -- to see if we're going to be impacted or not by these new legal requirements in the different categories. So I think we will be able to update you, basically, during the first months of 2021 in terms of what the impact has been for us due to these new front or back labeling requirements.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. And pardon me, Daniel is it okay if I take the question regarding the guidance of Mexico. As you know, as of June, we have almost flat to 1% growth in Mexico in terms of EBITDA. We are expecting a stronger second half, definitely, mainly because of the combination of 2 things. One, because in revenues, we think we're going to have a stronger second quarter, not having such a negative effect from the pandemic; and also, we're going to have lower onetime extraordinary expenses that -- it was already mentioned that we faced, mainly in the second quarter and also considering additional revenues, less expenses, we do feel a little bit more optimistic on the growth for the second half, which is more than the 1% that we already have.

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Unknown Analyst

Great. That's great color. And one follow-up, if I may, on the buybacks that you've been pretty active, but you haven't canceled some of those shares. What would be the rationale not for canceling and whether you would consider part of the shares that you've bought back perhaps to cancel them or not?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Well, still we haven't canceled any of the shells, you're right. It is something that we are analyzing very close. For the moment, we're going to keep the shares on treasury, but we will continue to analyze this and really balance if it's better to consult them or probably keep some additional flexibility from the imposition of the pressures.

Operator

And the next question will come from Álvaro García with BTG.

Álvaro García
Banco BTG Pactual S.A., Research Division

Congrats on results. A couple of questions. My first set of questions are for Fred. First, if you could comment quickly on bun season? And second, there's been a lot of chatter about consumer companies sort of permanently simplifying their product portfolio after what you've limped through with coronavirus. And so I was wondering if that was sort of in your plans?

And then just one quick follow-up for Diego, on the COVID-related expenses, which I thought was quite high. You mentioned that 2% of sales is that -- just a follow-up on Isabella's questions, is that included in the adjusted EBITDA? Are those COVID-related expenses included in the costs that factor into your adjusted EBITDA?

Alfred Penny
President of Bimbo Bakeries USA

Yes, Álvaro. Yes, I'll take -- for us, the bun season has been quite strong. It's been interesting to try to forecast some of the demand we've seen across various categories, as you can probably imagine, it's been quite difficult given this -- just a huge shift in where consumption is taking place. But bun season was quite strong for us, and I think it was fairly strong for the category.

Early on, as the pandemic hit, we did reduce our portfolio to varying degrees, depending on what -- which category and how much or lack of capacity we had. Frankly, there were a number of categories where we just simply had to scale back on the number of SKUs we were making to even come close to demand in certain categories.

Going forward, we've brought some products back as things have stabilized a bit. And we're going to continue to evaluate our portfolio as we go forward with an effort to continually try to optimize it where we can.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. Regarding the COVID-related expenses, they are fully recognized on the adjusted EBITDA. So we are not doing a pro forma. So the full effect of these expenses is reflected on the second quarter numbers.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Although if I may add, Álvaro, some of the costs of COVID are onetime, such as donations that we incurred in. Some will change as time passes by, such as the hiring of more support associates for people that were in the categories of vulnerable position or sick. And some others will remain in place, such as the ones related to personal protection.

Operator

And the next question will come from Lucas Ferreira with JPMorgan.

Lucas Ferreira
JPMorgan Chase & Co, Research Division

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

I have, if I may, 3 questions. The first one is a follow-up on the U.S. It seems demand was so strong and -- for you and all the category, and you quickly mention some sort of restrictions on the supply side. But were you able to get some pricing in the quarter for your main categories? And if not, are you considering to do so? Is there an environment for improving pricing in the second half? That would be my first question.

The second is just if you could remind us what is the outlook for costs of raw materials for next year? If you have some visibility already, how your raw materials are going to be trending next year?

And finally, maybe the last one is more strategic to Daniel, about how you guys have been learning from this crisis? So how does it, like, shape your strategy going forward? In terms of our innovation, in terms of channels that you are operating, has it already kind of opened your eyes for some new stuff that you could be adjusting and improving your strategy going forward?

Alfred Penny
President of Bimbo Bakeries USA

Yes, Lucas, relative to your question on pricing. At the beginning of Q2, the commercial bread industry, as you know, we mentioned, it faced pretty strong demand. And in some cases, limiting supplies. And we did scale back promotional activities in an effort to reduce out of stock risk in any given customer. And as the market has stabilized, still, it will remains strong and it normalized to some degree. We've adjusted some promotional depth and frequencies to align with supply and demand as well as our customer strategy. So I wouldn't necessarily want to give guidance specific to pricing, but I would say that we're working to both optimize our promotional strategies and ensure that we're meeting our customers' needs and our consumers' needs.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Regarding the -- Lucas, the commodity outlook, I can tell you that in general, we're more or less similar to what we faced last year. So we haven't covered, obviously, the whole year, but we're seeing up to now, a more or less stable commodity market in the different segments.

And regarding the learnings, obviously, it has been a great period to learn and to reflect. We are seeing that as many other companies, that we can work away from office in a positive way. We have been able to get us through this quarter so far. And most of the people are working away from the office, and we're able to process the payroll, pay our invoices and collect our receivables and accounting is following well.

So we're very happy with the work of the teams, not only the ones in the front line, but also the ones that are working from home. And we're learning through these. We're being, I would say, more welcoming to learning from our own different divisions in the different parts of the world, and we're more amicable to share things that have worked or not. And we're in the process of planning our next years, and we believe that certainly, COVID will have an impact on whatever we do in the coming years.

So we're happy with the results so far. We're looking forward to the next semester. And we're planning ahead for the coming years. And the markets are not the same. Some things translate from one country to the other. But we're very attuned to what each particular circumstances are happening in the different markets and reacting to them. And I'm being very proactive as well. So, so far, so good.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. And Lucas, this is Diego. Pardon me, just let me add very quickly regarding the question for commodities. As Daniel already mentioned, probably that's more in U.S. dollar terms. Just to remind everybody that we have a hedging policy and hedging strategy in the company, where we try to take out the risk from FX valuations. So I'm quite sure we would have pressure next year in the cost of sale because of devaluation that we already saw with the Mexican peso, with real, Colombia peso, et cetera, et cetera. And many of the currencies have devaluated, and this will put some pressure in the cost of sales.

Operator

And the final question will come from Miguel Mayorga from GBM.

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Miguel Mayorga Tena
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

Congrats on the results. Most of my questions have been answered, but my one question is regarding profitability on your Latin American operations. I mean the margin improvement was quite impressive. So just would like to hear your thoughts on how sustainable do you think these levels are? And setting aside the macro environment, what is it that you're doing differently now to reach those levels?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Miguel. Let me tell you that it varies country by country. And we don't have clarity that if this is going to remain for the remainder of the year or it's going to change. So far, we're still sensing that the countries that -- in the northern part of LATAM are still growing on a healthy basis. But we have countries such as Argentina that are in the middle of a very strong crisis. And Brazil is also confronting a very strong impact on the pandemia. So we don't know what the consumer sentiment and the purchasing behavior will be in the coming months in the region. So we have been very attuned to the market, and we're trying to leverage the learnings of the quarter for the remaining of the year. But still, the big question will be where will the consumers be in the next 6 months. And that is hard to tell you right now.

Operator

This concludes the question-and-answer session. At this time, I would like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, as always, we're thankful for your questions today. And please contact our Investor Relations group, if you have any other comments or questions regarding the quarter. And I hope to see you all in the next session. Thank you very much.

Operator
Thank you. This does conclude today's presentation. You may now disconnect your line at this time, and have a nice day.

Copyright © 2020 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Copyright © 2020 by S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved.

These materials have been prepared solely for information purposes based upon information generally available to the public and from sources believed to be reliable. No content (including index data, ratings, credit-related analyses and data, research, model, software or other application or output therefrom) or any part thereof (Content) may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of S&P Global Market Intelligence or its affiliates (collectively, S&P Global). The Content shall not be used for any unlawful or unauthorized purposes. S&P Global and any third-party providers, (collectively S&P Global Parties) do not guarantee the accuracy, completeness, timeliness or availability of the Content. S&P Global Parties are not responsible for any errors or omissions, regardless of the cause, for the results obtained from the use of the Content. THE CONTENT IS PROVIDED ON "AS IS" BASIS. S&P GLOBAL PARTIES DISCLAIM ANY AND ALL EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, FREEDOM FROM BUGS, SOFTWARE ERRORS OR DEFECTS, THAT THE CONTENT'S FUNCTIONING WILL BE UNINTERRUPTED OR THAT THE CONTENT WILL OPERATE WITH ANY SOFTWARE OR HARDWARE CONFIGURATION. In no event shall S&P Global Parties be liable to any party for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including, without limitation, lost income or lost profits and opportunity costs or losses caused by negligence) in connection with any use of the Content even if advised of the possibility of such damages. S&P Global Market Intelligence's opinions, quotes and credit-related and other analyses are statements of opinion as of the date they are expressed and not statements of fact or recommendations to purchase, hold, or sell any securities or to make any investment decisions, and do not address the suitability of any security. S&P Global Market Intelligence may provide index data. Direct investment in an index is not possible. Exposure to an asset class represented by an index is available through investable instruments based on that index. S&P Global Market Intelligence assumes no obligation to update the Content following publication in any form or format. The Content should not be relied on and is not a substitute for the skill, judgment and experience of the user, its management, employees, advisors and/or clients when making investment and other business decisions. S&P Global Market Intelligence does not act as a fiduciary or an investment advisor except where registered as such. S&P Global keeps certain activities of its divisions separate from each other in order to preserve the independence and objectivity of their respective activities. As a result, certain divisions of S&P Global may have information that is not available to other S&P Global divisions. S&P Global has established policies and procedures to maintain the confidentiality of certain nonpublic information received in connection with each analytical process.

S&P Global may receive compensation for its ratings and certain analyses, normally from issuers or underwriters of securities or from obligors. S&P Global reserves the right to disseminate its opinions and analyses. S&P Global's public ratings and analyses are made available on its Web sites, www.standardandpoors.com (free of charge), and www.ratingsdirect.com and www.globalcreditportal.com (subscription), and may be distributed through other means, including via S&P Global publications and third-party redistributors. Additional information about our ratings fees is available at www.standardandpoors.com/usratingsfees.
© 2020 S&P Global Market Intelligence.